

Resident Liability Program Overview

Our sweet spot is helping middle market companies and their owners accrete wealth. Our success is easily measured at the end of every calendar year whereby an owner can compare their combined business, personal and family balance sheets with and without us. We have been able to save some of the largest family offices, real estate companies, manufacturers, farmers, nursing homes and professional service firms millions.

For owners and operators of Multifamily, Student Housing and Senior Living, we combined our captive insurance expertise with the highly lucrative resident insurance space. The Resident Liability Program increases net operating income, increases portfolio value, and protects the property insurance deductible from accidental resident damage.

Our Resident Liability Program can be stand-alone program and does not require any other captive business or policies; however, if captives are on your radar, our program provides the perfect stepping stones without the traditional captive barriers.

We also help companies with large self-insured risk fund and finance these liabilities utilizing well established Captive Insurance transactions. These include but are not limited to items such as deductibles, exclusions, construction defect, product liability, supply chain, earthquake, wind and weather, reputational risk, credit risk, legal defense, cyber, EPLI, D&O, etc. Many of our prospective clients have already identified such liabilities and their accountants and CFOs have already taken the hit for book / financial statement purposes. We have developed very safe programs to be able to assist clients in financially funding for such book items. Other companies have failed to book basic liabilities for items mentioned above. In those cases, we work with our underwriters and actuaries to help identify and quantify those liabilities ultimately allowing the company to efficiently fund for those liabilities.

Resident Liability Platform (RLIP)

Resident Liability Platform Features:

- Bespoke programs designed to meet the individual needs of its participants
- Exclusively designed to give Multifamily, Student Housing, and Seniors Living owners and operators, a mechanism to fund for resident damage
- Diverse portfolios spread across the U.S.
- Complete third-party claims administration
- Proven track record

RLIP Benefits:

- Turn-key program with no up-front, start-up, or formation fees
- High profit participation
- Different options depending on risk profile

Program Description

The multifamily, student housing, and seniors living industries are experiencing a trend where large and professionally managed portfolios are implementing a mandatory liability insurance provision in their leases. Why has the mandatory insurance industry exploded? We believe it is because third party renter's insurance companies are making a fortune.

In the standard arrangement, an owner or management company will partner with a third-party renter's insurance provider. That provider will be the preferred renter's insurance provider for the portfolio. There may be an arrangement in place where the renter's insurance company will provide a small "marketing fee" to the owner or management company for every resident that enrolls in the program. The renter's insurance companies are collecting anywhere from \$10-30 dollars per resident per month, they may pay out a small marketing fee to the owner or management company, and their loss ratios are typically under 10%. This all equals huge profit to the insurance companies with low limits and low loss exposure.

With our RLIP, have set out to change the required liability insurance industry. Utilizing nearly 80 years of combined experience in insurance, real estate, accounting, and law, we have created a comprehensive, turnkey platform for our clients that crushes the model set forth by the competition.

We believe it is our clients, owners and management companies that should profit from requiring liability insurance; not third party commercial insurance companies.

We have created the most efficient and profitable platform in the industry and we are changing the required liability insurance industry, one portfolio at a time.

Resident Liability Insurance Program

- The Resident Liability Insurance Program (RLIP) begins with a one-page lease addendum
 - The lease addendum states that as a condition of renting a unit, we require our residents to carry \$100,000 of liability insurance
 - Each new and renewing resident executes the lease addendum and has two options:
 1. Provide proof of \$100,000 of liability coverage
 - If proof is provided, the policy information will be uploaded into your property management software
 - We will audit and track the policy on a periodic basis for currency
 2. Do nothing, the resident will be automatically enrolled in the Resident Liability Insurance Program
 - The RLIP waives the landlords right to go after the resident for accidental damage to the property caused by fire, smoke, explosion, water damage, and falling objects
 - The fee is \$11 per month
 - Based upon our historical results, price point, ease of enrollment, and guaranteed issue, we expect 85% of residents to enroll in the RLIP
- Our program is turnkey. We take on complete administrative burden of implementing and running the program, including:
 - Formation of your captive insurance company (where applicable), training your property managers on the RLIP, property management software integration, tracking resident compliance, 24/7 claims handling service, accounting, monthly invoicing, management and regulatory compliance
 - Program can be up and running in 60-90 days

Captive Insurance Program

Economics

- \$11.00 per resident per month will be ceded into your wholly owned captive insurance company
- Your captive insurance company will insure against resident damage to your property, caused by fire, smoke, explosion, water damage, and falling objects
- The limit your captive will be exposed to, for any one loss, is the lessor of the policy limit or the deductible on your underlying property insurance. Even if a resident enrolled in the RLIP burns down the entire building, your captive will only pay the lessor of the policy limit or your underlying property deductible

Captive Insurance Program - Projected stabilized economics for 50,000 units:

Property Owner/Manager - Case Specifics	
Number of units	50,000
Projected program penetration (85% of units)	42,500
Monthly charge per enrolled unit	\$11.00
Property Owner/Manager - Economics	
Gross monthly – Property Owner/Manager	\$ 467,500
Gross annual – Property Owner/Manager	\$ 5,610,000
Estimated claims (15%)	(\$ 841,500)
Fixed annual captive costs*	(\$ 65,000)
Net annual profit – Property Owner/Manager	\$ 4,703,500

*This is an estimate including Captive Management Fees, annual tax return, premium taxes, audit, and resident director fee.

Captive Insurance Companies

What is a captive insurance company?

In its most strict definition, a captive is an insurance subsidiary of a company formed to insure or reinsure the risks of its parent and/or the risks of brother/sister companies.

Typically, captives are established to fill gaps in insurance coverage where the conventional insurance market either cannot provide coverage, or where the cost is considered economically prohibitive.

Modern day captives have been around since the 1960s when Bermuda established, by way of private acts of parliament, the formation of companies specifically to insure the risks of their U.S. based parent companies.

Many insurers operating as household names such as Allstate, which was once Sears' captive insurance company, began as captives and expanded into full-fledged commercial insurance companies providing insurance coverage to individuals and corporations worldwide.

Captives may be:

- Owned by one or more corporations, individuals, trusts, or LLCs (a single parent captive)
- Structured as a direct issuing insurer or reinsurer or as a fronting carrier
- Domiciled in the U.S. or offshore
- Established to write business related to the parent and/or related parties

Benefits of a Captive

Generally, there are many benefits in setting up a captive. Some of the more common reasons are as follows:

- **Cost Reductions** - A corporation paying an insurance premium to a conventional insurance company contributes to the expenses (including inefficient administration and other insureds losses) and profits of the insurer. By establishing their own insurance vehicle, such costs and profits ultimately are controlled within the same economic family.
- **Increase in NOI and Portfolio Value** – For owners or managers of Multifamily, Student Housing and Seniors Living, the POPIC Resident Liability Insurance Program will significantly increase NOI and portfolio value.
- **Risk Management and Underwriting Profitability** - Conventional insurance is typically on a guaranteed cost basis and there is little incentive to improve risk management as there is no participation in the profitability of the insurance program. However, with a captive insurance company the parent can benefit from good claims experience and any surplus in the company may be available to the parent by way of dividend. A captive can therefore provide a great incentive to improve a risk management philosophy throughout an organization.
- **Cash Flow Benefits** - A captive allows an owner to control the investment portfolio to which the excess premiums are applied. It also allows for the money otherwise paid to a third party insurer remain in the same economic family, unless claims are paid.

- **Reinsurance** - Reinsurance is insurance that is available to insurance and reinsurance companies only and typically cost ratios associated with such reinsurance is far less than conventional “primary” insurers. Also, market capacity is greater. By accessing a second tier of insurance products (by establishing a captive insurance company) a corporation can access a wider array of insurance products at more effective costs.
- **Availability of Cover** - Certain types of coverage are unavailable or difficult to obtain because of such matters as historic loss experience for a sector of industry like medical malpractice. By setting up a captive, a corporation can insure such risks as well as obtain access to the reinsurance market that may have greater appetite for a risk.
- **Underwriting Stability** - A captive insurance company is less vulnerable to the cyclical nature of hard and soft markets that blight the conventional insurance markets. A captive can aide a business that requires accurate financial projections.

Types of Captives

The term captive has expanded to be associated with other entities where there is an affiliation between the owner(s) of the insurance company and the insured party.

Examples of commonly described captives are as follows:-

- **Single Parent/Pure** – this is a company that underwrites the risks of companies related to the parent company.
- **Segregated Business Unit (SBU)** – This provides nearly all of the benefits of a single parent captive without the extensive up-front costs, annual costs, and with a reduced capitalization requirement. The SBU is licensed under the core insurance company. Each SBU is responsible for its own assets and liabilities and each SBU files its own tax return.
- **Association Captive** – an insurance company typically owned by an association or trade group etc. that insures the risks of its members.
- **Agency Captive** – captive formed by insurance brokers or agents to allow them to participate in the high-quality risk, which they control.
- **Rent-a-Captive** – is an insurance company that provides access to corporations without the need to capitalize their own captive. The corporation usually has a participation or share agreement with the Rent-a-Captive that segments their portfolio of insurance and they are responsible for the assets and liabilities associated with their segment.
- **Risk Retention Group (RRG)** – A RRG is a domestic insurance company established under the Liability Risk Retention Act, 1986 and which is organized for the primary purpose of insuring liability exposures of its group members. Members of the RRG must be engaged in similar business activities (e.g. CPA seeking Errors & Omission insurance)

